

Fearnleys Steel Market Update

Sep 26, 2024

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Comment

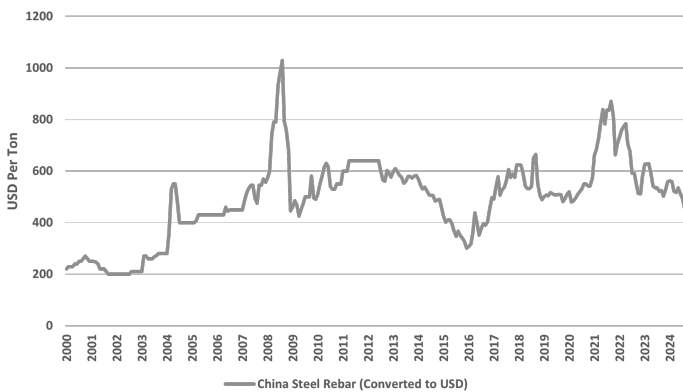
Steel market fundamentals in China are bearish, with domestic production down by 3.5% on the same period last year. This is primarily due to prevailing weakness in the property sector. However, infrastructure spending growth has also fallen, and some weaknesses have emerged recently in the automobile sector.

Due to the weaker domestic demand, China's steel product exports are set to reach an all-time high this year. This leads to increased discontent amongst trading partners, with many having raised or threatening to raise tariffs on Chinese products.

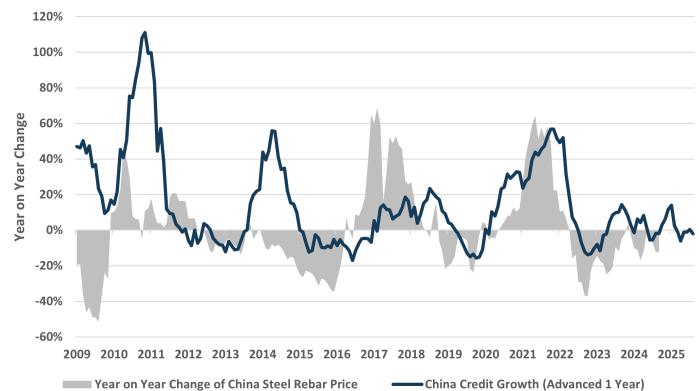
Steel prices have lost correlation to a couple of macro indicators displayed in the below charts. The global economy is in an upcycle this year, as shown by the high value of the OECD diffusion index. The steel rebar price is negative year on year, however.

China's credit growth remains low despite having had accommodative monetary policy for over two years. Further stimulus measures were recently announced, and it remains to be seen whether those measures will be enough to turn around the steel market.

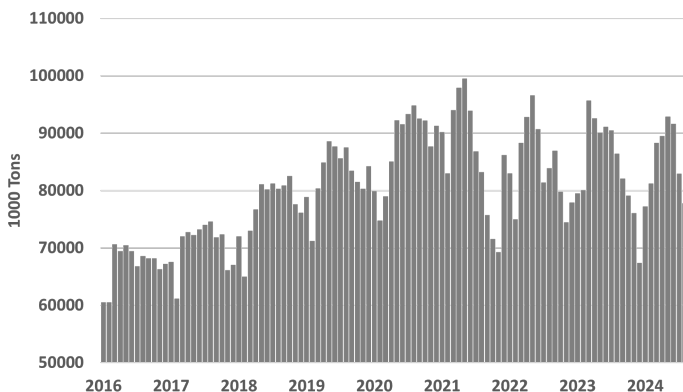
China Steel Rebar Price



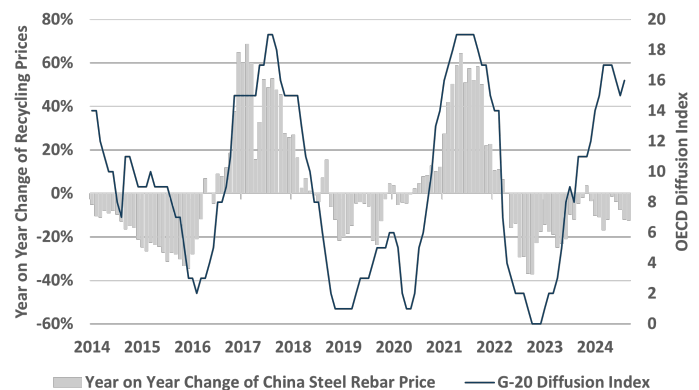
China Credit Growth 1 Year Lead vs China Steel Rebar Year on Year



China Steel Production



G-20 Diffusion Index vs China Steel Rebar Year on Year





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